

the embedded mortality credits, which is a term actuaries use to describe pure longevity insurance. This type of plan is often referred to as an ALDA or an advanced life delayed annuity and is also included in Table 9.4.

Guaranteed living income benefits (GLiBs) on the other hand, by virtue of the fact that they are not pure LPIA products, like the ones described previously, don't contain as much longevity insurance. They contain some, because in some cases they do promise payments for life; but they also provide another form of insurance against a poor sequence of returns. This is in addition to giving you access to a diversified variety of investment funds, like stocks, bonds, and other conventional securities. Because of its unique combination of insurance against a collection of risks, I consider it to be its own risk management product and worthy of its own allocation.

Before determining which of these three categories are appropriate for a particular retiree and in what combination, it is important to gauge their relative strengths and shortfalls.

In Figure 10.1, I assign a relative numerical score to each of the three products based on its effectiveness at hedging the three retirement risks and addressing retirement goals. Collectively, these scores form what I call the retirement grade point average (GPA) matrix. And while opinions may vary on the specific scores, hopefully the overall ranking is intuitive.

Focusing first on the left side of the chart and retirement risk management attributes, you start by evaluating the lifetime payout income annuity (LPIA). As mentioned, the strength of this product lies in its promise to pay out a steady, fixed payment for as long as the policyholder lives. Because the retiree cannot outlive the guaranteed income that the LPIA provides, longevity risk is directly addressed and hedged. The product can even be viewed as a close substitute for the disappearing traditional pension. Accordingly, I assign the highest score of 5 to the LPIA for the longevity risk attribute.

Conversely, the LPIA scores the lowest on its ability to tackle inflation. In its basic form, a LPIA provides fixed payments in nominal terms. So the most common manifestation of the product does not avoid the erosion of purchasing power effect. Finally, I assign a somewhat neutral score to the LPIA for its ability to hedge against the